

microfinance portfolio witnessed significantly higher NPAs. “The bank has done reasonably well with growth accelerating and margins stabilising,” he says.

For the third quarter of FY26, AU SFB posted 26% growth in net profit to ₹668 crore. Its deposit book grew 23.3% year on year to ₹1.38 lakh crore by December 31, 2025, while the gross loan portfolio increased by 19.3% year on year to ₹1.29 lakh crore. Gross non-performing assets declined sequentially to 2.3% of gross advances in the third quarter of the fiscal.

“Growth remains among the best in the industry and we remain optimistic about underlying business profitability,” Motilal Oswal Financial Services said after the bank’s Q3 results.

No wonder, in the backdrop of the successful merger, Agarwal has been awarded as the Best CEO—Business Transformation Leader in the private sector bank, including SFBs, in the *BT-KPMG Survey of India’s Best Banks & NBFCs*.

### NEW PUSH

AU SFB is moving on to newer frontiers and working on becoming a universal bank, for which it received in-principal approval from the RBI on August 7, 2025. This was a landmark in two ways. One, it was the first such approval by the RBI in 11 years. Two, AU SFB will be the first SFB to transition to a universal bank.

“This is a great validation for me personally, in my 30th year of journey and of course, of all the AUites for their hard work, vigilance, governance, and customer support,” says Agarwal, hoping that the transition process will be completed by February 2027.

It is also moving its headquar-

## BETTING ON GROWTH

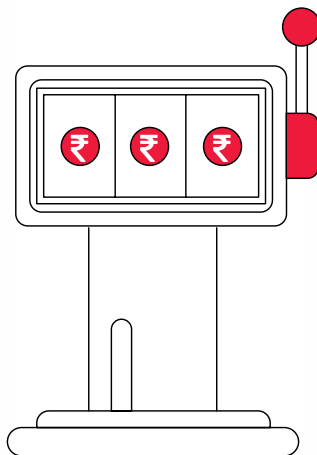
**AU SFB completed amalgamation of Fincare SFB effective April 1, 2024**

**Post merger, AU SFB has reach in Southern India and a combined base of over 1 crore customers, over 43,500 employees and 2,350 physical touchpoints**

**The bank has further improved its performance with a 26% YoY rise in PAT in Q3FY26**

**It received in-principle approval from RBI for transitioning to a universal bank on August 7, 2025**

**Apart from scale, AU SFB is focusing on leaving an impact with stakeholders, customers**



ters from Jaipur to Mumbai. The shift is likely to be completed by October this year.

Dama of Emkay Global notes that AU SFB has given good growth outlook in the near to medium term, but how it transitions into a full-fledged universal bank needs to be seen.

Agarwal remains hopeful. He says addition in the customer segment would be a natural process. “If we really want to become a scalable and sustainable franchise, we need to have customers from every segment, but it will be in due course of time.”

AU SFB is also working to grow its touchpoints, currently at 2,726. It plans to add at least 150-200 touchpoints every year for the next few years. “We are [present] in 499 districts. We have to be present in all districts of the country,” says Agarwal.

The lender is also working on succession planning for the next 10-15 years. More recently, the RBI approved the re-appointment of Agarwal as MD & CEO for three years effective April 19, 2026.

Apart from scale, Agarwal also wants AU SFB to leave an impact on all its stakeholders and not be known only as a profitable and high growth organisation.

In an over hour-long conversation with *BT*, Agarwal says that he often uses cricket related terms to motivate his own team.

“During tough times, hold yourself and don’t get out,” is something he told his team during the Covid-19 pandemic,” Agarwal says.

That advice seems to have held the bank in good stead. **BT**

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